Two Model Approaches

The simple idea first

There are **two ways** an AI can help us price a business:

1. **Ask the AI to directly calculate the price**
2. **Ask the AI to judge the business, then calculate the price using logic**

Both are valid.
They just behave very differently.

Option 1: Direct Pricing Model (Regression Model)

What it is (in simple terms)

This model is a **regression model**.

You give it:

- revenue
- expenses
- profit
- business type
- size
- growth

And it directly says:

> “This business is worth X.”

That’s it.

Business data → AI → Price

How it thinks

It learns from past examples:

- “Businesses like this sold for this price”
- It finds mathematical relationships
- Then applies them to new businesses

This is **pure machine learning**.

Why this is powerful

- Very precise when trained on a lot of real deals
- Fast and automatic
- Minimal logic around it

Why this can be risky early on

- If data is limited or imperfect, the AI can over- or under-price
- Harder to explain *why* a price was chosen
- Sensitive to unusual inputs
- Feels like a “black box” to non-technical users

In early platforms, this often raises questions like:

> “Why did the AI say this price?”

When this model is ideal

- Large historical transaction datasets
- Mature platforms
- Stable markets
- Advanced phase

Option 2: Hybrid Scoring Model (AI + Logic)

What it is

This is a **hybrid model**.

The AI does **judgment**, not final pricing.

It answers:

> “How strong is this business compared to others?”

Then **business logic** turns that judgment into a fair price.

Business data
→ AI Score
→ Business Rules
→ Market Logic
→ Price

How it thinks

- The AI evaluates quality and patterns
- Rules prevent unrealistic outcomes
- Market logic aligns with real investor behavior

The AI is **advising**, not deciding alone.

Why this feels safer

- Prices stay within realistic boundaries
- Easy to explain:
    - “Strong profitability increased the score”
    - “Market demand boosted the valuation”
- Allows human and admin oversight
- Adapts well with limited data

Why this is ideal for launch

- Works well even with small or mixed datasets
- Builds trust with sellers and buyers
- Prevents extreme or illogical pricing

- Easier to adjust without retraining everything

Client View

Aspect	Direct Pricing Model	Hybrid Scoring Model
Type	Regression	Hybrid (AI + Rules)
AI role	Final decision	Advisor
Output	Price	Score → Price
Explainability	Low–Medium	High
Data requirement	High	Medium
Risk of outliers	Higher	Lower
Early-stage friendly	❌	✅
Scales long-term	✅	✅